Pemberton Debt Advisory
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Tranquil Aged Care Pty Ltd
A$95.0M Senior Secured Term Loan

Information Memorandum

Prepared for prospective senior secured lenders

Prepared by Pemberton Debt Advisory

Version 1.0, 10 February 2025

Strictly private and confidential

Reference: PDA-IM-2025-003

Date: 10 February 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Tranquil Aged Care Pty Ltd
ABN	71 956 336 974
Registered office	Level 9, 440 Bourke Street, Melbourne VIC 3000
Sponsor	Coolwater Capital Pty Ltd, as manager of Coolwater Capital Healthcare Fund II
Facility	A$95.0M senior secured term loan, 36 months
Security	First ranking mortgage and general security over all assets
Prepared by	Pemberton Debt Advisory
Prepared for	Prospective senior lenders
Date and version	10 February 2025, Version 1.0

Transaction details

Important notice

This Information Memorandum has been prepared by Pemberton Debt Advisory on behalf of Tranquil Aged Care Pty Ltd (the Borrower) for the sole purpose of assisting selected lenders to evaluate the proposed senior secured term loan. It is confidential and must not be reproduced or passed to any other person without written consent.

The financial information is drawn from Borrower management and has not been independently verified by Pemberton Debt Advisory. Figures for the twelve months to 31 December 2024 (LTM Dec24) are management figures. The valuation, quantity surveyor and other third party reports referred to in this document have not yet been issued in final form, and the dates on which they are expected are set out in Section 11. Pricing and terms are indicative only, do not constitute an offer, and remain subject to credit approval, due diligence and documentation. Recipients should make their own assessment and take their own advice.

1. Executive summary

Tranquil Aged Care Pty Ltd owns and operates nine approved residential aged care homes across metropolitan Melbourne, Geelong and regional Victoria, with 1,040 operational beds. All homes are held freehold and operated under Commonwealth approved provider status. Coolwater Capital Pty Ltd, as manager of Coolwater Capital Healthcare Fund II, acquired a 72% controlling interest in 2019 and has funded a staged refurbishment program across the portfolio.

The Borrower is seeking a A$95.0M senior secured term loan with a 36 month tenor. The proceeds will refinance existing bank debt of A$78.5M, fund the remaining A$9.5M of the portfolio refurbishment and room reconfiguration program, and meet transaction costs, an interest reserve and working capital of A$7.0M.

Key credit features are summarised below.

- Scale and diversification: nine homes and 1,040 beds, with 91% occupancy at the last reporting date, equal to about 946 occupied beds.
- Earnings: LTM Dec24 revenue of A$108.4M and EBITDA of A$16.5M, an EBITDA margin of 15.2%.
- Leverage: pro forma net debt of A$89.0M (A$95.0M facility less A$6.0M cash), or 5.4x LTM EBITDA, with interest cover of 1.9x.
- Security: first ranking mortgage over nine freehold properties with an as-is market value of A$158.0M (Harcourt Dunmore Valuers Pty Ltd), giving a loan to value ratio (LVR) of 60.1%.
- Care standards: reported compliance with the 215 minute per resident per day care minute target, including the registered nurse component.
- Sponsor support: a committed institutional owner with a six year ownership record and a funded refurbishment history.

Lenders should also note the refundable accommodation deposit (RAD) liability of about A$118.0M, which is a significant call on liquidity and is discussed in Sections 5 and 8.

2. Transaction overview

2.1 Purpose and sources and uses

The facility is a single senior secured term loan of A$95.0M. It is the only source of funds for the transaction, and the uses are set out below. The refurbishment tranche is expected to be drawn progressively against certified progress, which is the reason the pricing includes a line fee on undrawn commitments.

Use of funds	A$M	% of total
Refinance existing bank debt	78.5	82.6%
Stage two refurbishment and room reconfiguration	9.5	10.0%
Transaction costs, interest reserve and working capital	7.0	7.4%
Total uses (equal to facility limit)	**95.0**	**100.0%**

Table 1: Sources and uses. Source is the A$95.0M senior secured term loan.

The establishment fee of 1.75% equates to about A$1.66M on the full commitment and forms part of the A$7.0M costs, reserve and working capital allocation.

2.2 Indicative terms

Borrower	Tranquil Aged Care Pty Ltd
Facility type	Senior secured term loan
Commitment	A$95.0M
Tenor	36 months from first drawdown
Margin	3 month BBSW plus 5.25% per annum
Establishment fee	1.75% of the commitment
Line fee	1.00% per annum on undrawn commitments
Exit fee	1.00% if repaid within 12 months
Repayment	Interest only, with repayment at maturity (Borrower request, to be settled in the term sheet)
Security	First ranking mortgage over all freehold homes and general security over all assets
Hedging	Partial hedging of BBSW exposure proposed, with the proportion to be settled in the term sheet

Table 2: Summary of indicative facility terms

3. Borrower and sponsor

3.1 History

The Borrower was established in 2009 by its founding shareholders and has grown from a single 84 bed home in Bendigo to a nine home portfolio. Growth has combined portfolio acquisition and one purpose-built development.

Date	Event
1 July 2009	Established by founding shareholders; first 84 bed home opened in Bendigo, VIC
30 November 2015	Acquired three home portfolio in Melbourne's south-east; capacity lifted to 470 beds
15 April 2019	Coolwater Capital acquired a 72% controlling interest; management retained the balance
21 February 2022	Opened 168 bed purpose-built home in Geelong; portfolio reached nine homes and 1,040 beds
31 October 2024	Stage one refurbishment completed across three homes; stage two (A$9.5M) remains to be funded

Table 3: Corporate history

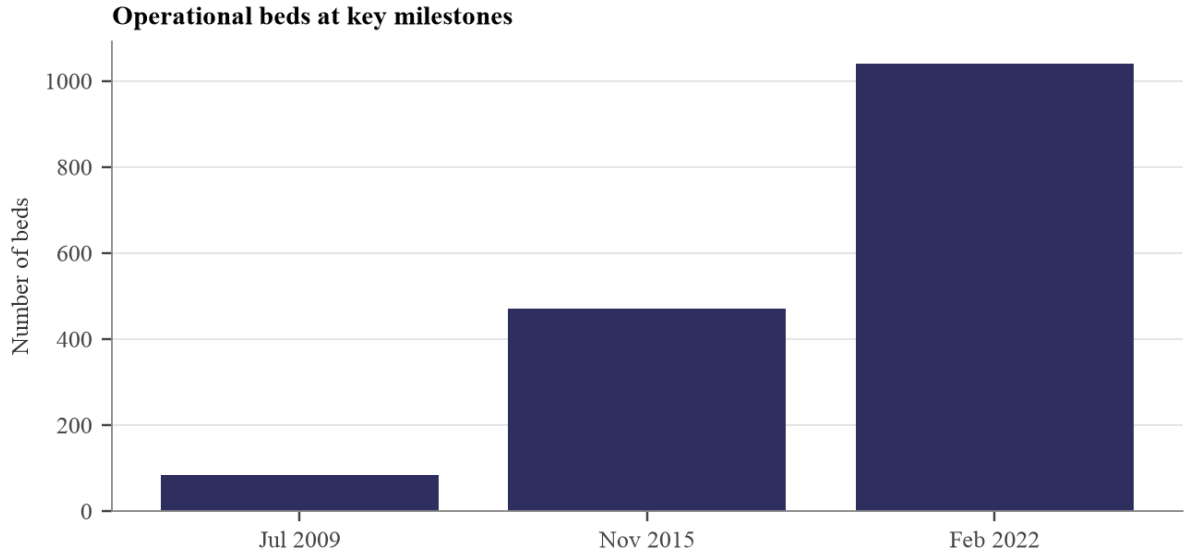


Figure 1: Growth in operational beds from first home to current nine home portfolio

3.2 Ownership and sponsor

Coolwater Capital Pty Ltd, as manager of Coolwater Capital Healthcare Fund II, holds 72% of the Borrower. Management holds the remaining 28%, which aligns the executive team with lender outcomes. Since 2019 the sponsor has funded a staged refurbishment program across the portfolio, of which stage one is complete across three homes. Stage two, covering the remaining refurbishment and room reconfiguration works, is the A$9.5M component of this request.

3.3 Board and governance

The Board has three directors. The Chair is a Coolwater Capital nominee, and the Audit and Risk Committee is chaired by a non-executive director.

Director	Role
Helena Marchetti	Chair and Non-Executive Director (Coolwater Capital nominee)
Graham Ostrowski	Chief Executive Officer and Executive Director
Priya Venkataraman	Non-Executive Director and Chair of Audit and Risk Committee

Table 4: Directors of Tranquil Aged Care Pty Ltd

3.4 Advisers

Role	Firm
Debt adviser and arranger	Pemberton Debt Advisory
Financial adviser to Borrower	Beaumaris Corporate Advisory Pty Ltd
Legal counsel to Borrower	Fenwick Lyle Lawyers
Auditor	Ashgrove Whitlam Audit Pty Ltd
Valuer	Harcourt Dunmore Valuers Pty Ltd
Quantity surveyor	Pellow & Strand Quantity Surveyors Pty Ltd

Table 5: Advisers and independent reviewers

4. Business and operations

4.1 Portfolio

The Borrower operates nine approved residential aged care homes with 1,040 operational beds. The homes are located across metropolitan Melbourne, Geelong and regional Victoria. All are held freehold by the Borrower, which removes lease expiry and landlord risk from the credit. The Geelong home, opened in February 2022, is a 168 bed purpose-built facility and is the newest in the portfolio.

Occupancy was 91% at the last reporting date, equal to about 946 occupied beds. The Borrower reports that this leaves about 94 vacant beds across the portfolio.

4.2 Revenue model

Revenue is derived from three sources.

- Commonwealth subsidies: funding under the Australian National Aged Care Classification (AN-ACC) and associated supplements, which depends on the assessed care needs of residents.
- Resident means-tested fees: contributions towards care and daily living costs, assessed against resident means under Commonwealth arrangements.
- Accommodation payments: refundable accommodation deposits (RADs), daily accommodation payments (DAPs) and contributions.

LTM Dec24 revenue was A$108.4M. On 946 occupied beds, this equates to about A$114,600 of revenue per occupied bed per year, a figure used in the sensitivity analysis in Section 7.

4.3 Workforce and care standards

The group employs about 1,420 FTE. The Borrower reports compliance with the 215 minute per resident per day care minute target, including the registered nurse component. Agency labour accounts for about 4.2% of staff costs. Staff costs are the largest operating cost and the main driver of margin. Maintaining the care minute target is both a regulatory requirement and a commercial priority, and its cost is reflected in the 15.2% EBITDA margin.

4.4 Refurbishment program

Stage one of the refurbishment was completed on 31 October 2024 across three homes. Stage two, budgeted at A$9.5M, covers the remaining refurbishment and room reconfiguration works across the portfolio. Pellow & Strand Quantity Surveyors Pty Ltd has been engaged to review the budget and program and to certify progress for drawdowns. Its report is expected on 21 March 2025.

5. Security package

The facility is proposed to be secured by the following.

- A first ranking registered mortgage over each of the nine freehold aged care properties.

- A general security deed over all present and after-acquired assets of the Borrower.
- Assignment of material insurances and, where available, of key contracts and receivables.
- Such share security and guarantees from the sponsor group as are agreed during diligence.

Harcourt Dunmore Valuers Pty Ltd has assessed the as-is market value of the portfolio at A$158.0M. Against the A$95.0M commitment, the LVR is 60.1%. The formal valuation report is expected on 14 March 2025, and the figure above is subject to that report. The valuation is on an as-is basis and does not include any uplift from the stage two works.

Lenders should consider three structural points in assessing the security.

- RAD liability: the Borrower holds about A$118.0M of RADs, equal to about A$124,700 per occupied bed. These are repayable to residents on departure, subject to Commonwealth prudential requirements. The LVR above is calculated on the facility alone. The ranking and treatment of RAD obligations in an enforcement scenario will be addressed by lender counsel as part of legal due diligence.
- Approved provider status: this status and Commonwealth funding entitlements are regulatory permissions that cannot be charged in the ordinary way. The enforceability of the security depends in part on step-in and transfer arrangements, which will be reviewed with counsel.
- Special purpose value: aged care properties are valued on an income-based, going concern basis. Realisation values on a forced sale could differ from the as-is market value.

6. Financial overview

The table below summarises the key financial metrics at 31 December 2024 on a pro forma basis for the new facility.

Metric	Value
Revenue (LTM Dec24)	A$108.4M
EBITDA (LTM Dec24)	A$16.5M
EBITDA margin	15.2%
Facility limit	A$95.0M
Cash	A$6.0M
Net debt	A$89.0M
Net debt to EBITDA	5.4x
Interest cover (EBITDA to cash interest)	1.9x
As-is market value	A$158.0M
LVR (facility to market value)	60.1%
RAD liability	A$118.0M

Table 6: Summary financial metrics, LTM Dec24, pro forma for the facility

Net debt of A$89.0M is the full A$95.0M facility less A$6.0M of cash, and the leverage ratio of 5.4x is net debt divided by LTM EBITDA of A$16.5M. Interest cover of 1.9x implies pro forma cash interest of about A$8.7M. The calculation basis is set out in the financial model prepared by Beaumaris Corporate Advisory Pty Ltd. It is shown before the effect of any hedging.

Leverage is high relative to the senior debt typically available to the sector, and is reflected in the 5.25% margin. The Borrower expects leverage to reduce as the stage two works are completed and as earnings grow, but the facility is not structured on the assumption of amortisation. The financial information pack is expected on 28 February 2025, and management accounts to the end of March 2025 are expected on 11 April 2025.

7. Sensitivity analysis

Occupancy is the most direct driver of earnings. The analysis below shows the effect of lower occupancy on EBITDA, interest cover and leverage. It is Pemberton Debt Advisory's illustrative analysis and not a Borrower forecast. It assumes revenue of about A$114,600 per occupied bed, a 50% flow-through of lost revenue to EBITDA to reflect partial staff cost savings, and interest cost held at about A$8.7M. Net debt is held at A$89.0M.

Occupancy	Occupied beds	EBITDA (A$M)	Interest cover	Net debt / EBITDA
91% (current)	946	16.5	1.9x	5.4x
89%	926	15.3	1.8x	5.8x
87%	905	14.1	1.6x	6.3x
85%	884	12.9	1.5x	6.9x

Table 7: Occupancy sensitivity, illustrative

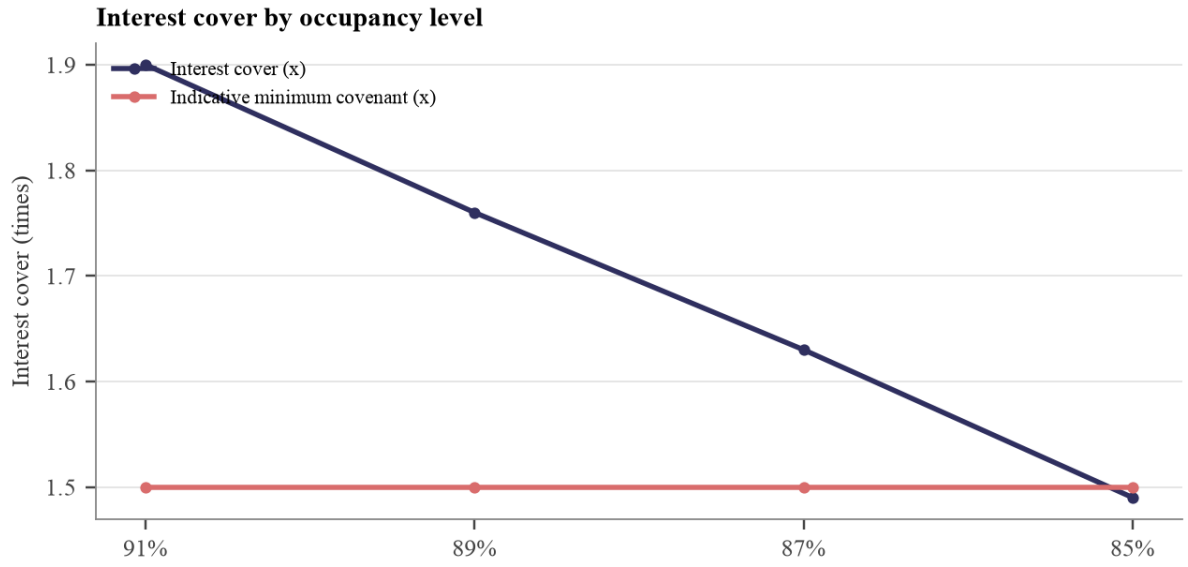


Figure 2: Illustrative interest cover against the indicative 1.5x minimum covenant

A fall of three to four percentage points in occupancy reduces interest cover from 1.9x to between about 1.7x and 1.6x. Interest cover would reach the indicative 1.5x covenant level at occupancy of about 85%, which is six percentage points below the current level. Leverage would reach the indicative 6.5x covenant at occupancy of about 86%.

8. Key risks and mitigants

The principal risks to the credit, and the mitigants proposed or available, are set out below.

Regulatory and funding reform

Changes to AN-ACC pricing, the new Aged Care Act and means-testing arrangements may reduce revenue per occupied bed. The Borrower has no control over these settings. Mitigants include the covenant headroom described in Section 9, a portfolio spread across metropolitan, Geelong and regional Victorian catchments, and the sponsor's experience of earlier reform cycles.

Workforce

Pressure on nursing and care wages, reliance on agency labour (about 4.2% of staff costs) and the cost of sustaining the 215 minute care target may compress margin. Agency usage is modest at the current level. The Borrower will report care minute compliance and agency usage to lenders each quarter.

Refinance and RAD liquidity

RADs of about A$118.0M are repayable on resident departure, and a fall in new deposits would draw on cash or facility headroom. The facility matures in 36 months, and a refinance will depend on the earnings and valuation outcomes from the stage two works. Mitigants include the A$6.0M cash balance, the interest reserve and working capital allocation within the facility, a proposed minimum liquidity covenant and monthly RAD reporting.

Occupancy

Occupancy of 91% leaves limited buffer, and Section 7 shows the effect of a sustained fall. The proposed financial covenants are set so that lenders have early warning before the security position is materially affected.

Quality and compliance

Adverse findings or sanctions from the Aged Care Quality and Safety Commission at any single home could restrict admissions and affect reputation. The Audit and Risk Committee oversees clinical and compliance reporting. Lenders would be entitled to prompt notice of any sanction, notice of non-compliance or restriction on admissions.

Interest rate

The facility is floating rate and only partial hedging is proposed, leaving cash flow exposed to BBSW movements. A hedging requirement, with the proportion to be settled in the term sheet, will be a condition of the facility.

9. Proposed covenants and undertakings

The following financial covenants are proposed for discussion. Levels are indicative and are subject to the financial model and the credit assessment of each lender. Based on the opening position, the leverage covenant would permit a decline in LTM EBITDA of about 17% from A$16.5M, and the interest cover covenant a decline of about 21%.

Covenant	Opening	Indicative level
Net debt to EBITDA	5.4x	Maximum 6.5x
Interest cover	1.9x	Minimum 1.5x
LVR	60.1%	Maximum 70.0%
Liquidity (cash plus undrawn)	A$6.0M cash	Minimum A$4.0M

Table 8: Indicative financial covenants

The following information and general undertakings are also proposed.

- Monthly reporting of occupancy, RAD and DAP balances, new deposits and refunds.
- Quarterly reporting of care minute compliance, agency labour usage and any regulatory notices.
- Drawdown of the refurbishment tranche only against certificates from Pellow & Strand Quantity Surveyors Pty Ltd.
- Hedging of BBSW exposure in accordance with the term sheet.
- Restrictions on distributions to shareholders while covenants are not met.
- Annual updated valuations of the properties at the lenders' request.

10. Conditions precedent and subsequent

10.1 Conditions precedent to first drawdown

- Final valuation report from Harcourt Dunmore Valuers Pty Ltd confirming an as-is market value supporting an LVR no higher than the agreed level.
- Quantity surveyor report from Pellow & Strand Quantity Surveyors Pty Ltd confirming the A$9.5M budget and program.
- Financial information pack, management accounts and financial model reviewed to lenders' satisfaction.
- Legal due diligence by lender counsel, including title, RAD ranking and approved provider matters.
- Payout letter and release of existing security for the A$78.5M bank debt.

- Executed security documents, registered mortgages and evidence of insurance.
- Board approvals and sponsor confirmations, including a Coolwater Capital shareholding confirmation.
- Confirmation of current approved provider status and absence of unremedied sanctions at any home.

10.2 Conditions subsequent

- Execution of hedging within the period agreed in the term sheet.
- Registration of all security interests and lodgement of discharges within the agreed period.
- Delivery of audited financial statements from Ashgrove Whitlam Audit Pty Ltd for the next financial year end.

11. Process and timetable

The dates below are indicative and are subject to change. Third party reports are expected to be issued on the dates shown and will be made available to lenders on receipt.

Date	Milestone
10 February 2025	Information Memorandum issued
28 February 2025	Financial information pack released
14 March 2025	Valuation report expected (Harcourt Dunmore Valuers Pty Ltd)
21 March 2025	Quantity surveyor report expected (Pellow & Strand)
11 April 2025	Management accounts released
2 May 2025	Term sheet issued

Table 9: Indicative process timetable

Lenders wishing to participate should direct questions and requests for management access to Pemberton Debt Advisory. Contact with the Borrower, its shareholders, employees, residents or advisers about this transaction must be made only through Pemberton Debt Advisory.